



Board of Public Utilities

Cheyenne Water and Sewer Departments

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Cheyenne, Wyoming 82001
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Memo

To: Honorable Mayor Collins and Members of the City Council
From: Frank Strong
Date: July 10, 2024
Subject: Amendment One – Cheyenne Transmission, Pump Station and Tank 2020 Project

Background:

The item for consideration is Amendment one to Project Agreement Cheyenne Transmission, Pump Station and Tank 2020 Project with the Wyoming Water Development Commission (WWDC). The purpose of the amendment is to replace the Project funding from WDCC with funding from the Coronavirus State and Local Fiscal Recovery Funds (SLFLR). The amount of the agreement has not changed.

The proposed Governing Body review schedule is as follow:

- Introduction 7/8/24
- Finance Committee 7/15/24
- Consideration 7/22/24

**AMENDMENT ONE TO PROJECT AGREEMENT
CHEYENNE TRANSMISSION, PUMP STATION AND TANK 2020 PROJECT**

1. **Parties.** This Amendment is made and entered into by and between the State of Wyoming, acting by and through the WYOMING WATER DEVELOPMENT COMMISSION (COMMISSION), whose address is: 6920 Yellowtail Road, Cheyenne, WY 82002 and CITY OF CHEYENNE BOARD OF PUBLIC UTILITIES, LARAMIE COUNTY, Wyoming, a duly organized municipality existing under the laws of that state (SPONSOR), whose address is: CITY OF CHEYENNE BOARD OF PUBLIC UTILITIES, 2416 Snyder Avenue, Cheyenne, WY 82001.
2. **Purpose of Amendment.** This Amendment shall constitute the first amendment to the Project Agreement between the COMMISSION and the SPONSOR. The purpose of this Amendment is to replace the PROJECT funding with funding from the Coronavirus State and Local Fiscal Recovery Funds ("SLFRF") established under section 602 and 603 of title VI of the federal Social Security Act as created by section 9901 of the American Rescue Plan Act of 2021, P.L. No. 117-2 and pursuant to Wyo. Stat. § 99-3-2503, and 2024 Wyo. Sess. Laws Ch. 99, and to adjust the reversion date.

The original Project Agreement, dated May 26, 2020, was for the design and construction of a tank and transmission pipelines.

3. **Term of Amendment.** This Amendment is effective when all parties have executed it (Effective Date). The Term of the Amendment is from the Effective Date and shall remain in full force and effect through the end of the period during which the Inspector General for the U.S. Department of the Treasury ("Treasury") and Government Accountability Office may audit the State for the distribution of SLFRF, or until all provisions and conditions set forth herein have been fully satisfied, whichever comes later.
4. **Amendments.**
 - A. **Funds not used for Eligible Expenses.** The following paragraph shall be added to the Special Provisions section of the agreement 4.T.:

"4.T. If the COMMISSION, the Inspector General for the U.S. Department of the Treasury, or the Government Accountability Office determines that any of the distributed funds were not utilized for an eligible expense under SLFRF, the SPONSOR shall repay such funds immediately to the COMMISSION. In the event the SPONSOR does not repay the grant funds, the obligation shall be booked as a debt of the SPONSOR owed to the State of Wyoming. The SPONSOR further agrees to provide the COMMISSION, upon request, a full and complete accounting as to the use of the funds; said accounting to be done in accordance with generally accepted

accounting principles and shall be provided to the COMMISSION within a reasonable time.”

- B. Sponsor Shall Fully Cooperate with the Commission.** The following paragraph shall be added to the Special Provisions section of the agreement 4.U.:

“4.U. The SPONSOR shall fully cooperate with the COMMISSION with respect to its compliance and reporting requirements of section 602 and 603 of the Social Security Act, regulations adopted by Treasury pursuant to section 602 and 603 of the Social Security Act, and guidance issued by Treasury regarding the foregoing. Such compliance and reporting requirements include but are not limited to:

1. Annual and quarterly project and spending reporting
2. Project status
3. Projected/actual construction start date and projected/actual initiation of operations date
4. National Pollutant Discharge Elimination System (NPDES) Permit Number (if applicable) and Public Water System (PWS) ID number (if applicable)
5. Median Household Income of service area and lowest quintile income of the service area”

- C. Use of Funds Disbursed.** Section 4.L. of the original Project Agreement is hereby amended to read as follows:

“4.L. The SPONSOR shall use funds disbursed by the COMMISSION immediately upon receipt strictly in accordance with the requests for payment submitted by the SPONSOR and approved by the COMMISSION. If at any time after execution of this Agreement and before five (5) years after the date of final payment to the SPONSOR, the COMMISSION requests an audit of funds disbursed, the SPONSOR shall submit to and cooperate with the audit conducted by the COMMISSION, the Treasury Office of Inspector General, and the Government Accountability Office, or their and its authorized representatives.”

- D. Reversion of Unexpended Funds.** The reversion date for unexpended funds as set forth in Section 4.P. of the original Project Agreement and amended in Amendment One to the Project Agreement is hereby amended to read as follows:

“4.P. The SPONSOR shall complete the PROJECT and shall be responsible for operation and maintenance of the PROJECT in accordance with accepted engineering practices. The SPONSOR shall be responsible for all costs, including labor, for all operation, maintenance and repairs. In addition, the SPONSOR shall complete the PROJECT no later than December 31, 2026, and shall have settled all claims and paid all PROJECT expenses by that date. The COMMISSION shall not pay any funds to the SPONSOR after the aforementioned date specified, and the SPONSOR shall be solely responsible for payment of any expenses incurred or claims received after said date.”

E. Administration of Federal Funds. The following paragraph shall be added to the General Provisions section of the agreement 4.V.:

“4.V. Administration of Federal Funds. The SPONSOR agrees its use of the funds awarded herein is subject to Uniform Administrative Requirements of 2 C.F.R. Part 200, et seq.; SLFRF; any additional requirements set forth by the U.S. Department of the Treasury; all applicable regulations published pursuant to section 602 and 603 of the Social Security Act; and all guidance issued by the Treasury regarding the foregoing.”

F. Federal Audit Requirements. The following paragraph shall be added to the General Provisions section of the agreement 4.W.:

“4.W. Federal Audit Requirements. The SPONSOR agrees that if it expends an aggregate amount of seven hundred fifty thousand dollars (\$750,000.00) or more in federal funds during its fiscal year, it must undergo an organization-wide financial and compliance single audit. The SPONSOR agrees to comply with the audit requirements of the U.S. General Accounting Office Government Auditing Standards and Audit Requirements of 2 C.F.R. Part 200, Subpart F. If findings are made which cover any part of this Agreement, the SPONSOR shall provide one (1) copy of the audit report to the COMMISSION and require the release of the audit report by its auditor be held until adjusting entries are disclosed and made to the COMMISSION’s records.”

G. Audit and Access to Records. Section 5.D. of the original Project Agreement is hereby amended to read as follows:

“Audit and Access to Records. The COMMISSION, the Treasury Office of Inspector General, and the Government Accountability

Office, or their authorized representatives, shall have access to any books, documents, papers, electronic data, and records of the SPONSOR which are pertinent to this Agreement and the PROJECT.”

- H. **Compliance with Laws.** Section 5.F. of the original Project Agreement is hereby amended to read as follows:

“**Compliance with Laws.** The SPONSOR shall keep informed of and comply with all applicable federal, state and local laws and regulations in the performance of this Agreement, including but not limited to laws and regulations governing assessment processes, public bidding, public works and contractor retainage. The SPONSOR shall comply with all resident and other preference requirements, including but not limited to those applicable to labor, materials and subcontractors. The SPONSOR shall fully cooperate with the COMMISSION with respect to its compliance with requirements of section 602 and 603 of the Social Security Act, regulations adopted by Treasury pursuant to section 602 and 603 of the Social Security Act, and guidance issued by Treasury regarding the foregoing.”

- I. **Nondiscrimination.** The following paragraph shall be added to the General Provisions section of the agreement 5.T.:

“**5.T. Nondiscrimination.** The SPONSOR shall comply with the Civil Rights Act of 1964, the Wyoming Fair Employment Practices Act (Wyo. Stat. § 27-9-105, et seq.), the Americans with Disabilities Act (ADA), 42 U.S.C. § 12101, et seq., and the Age Discrimination Act of 1975 and any properly promulgated rules and regulations thereto and shall not discriminate against any individual on the grounds of age, sex, color, race, religion, national origin, or disability in connection with the performance under this Agreement.”

5. **Special Provisions.**

- A. **Same Terms and Conditions.** With the exception of items explicitly delineated in this Amendment, all terms and conditions of the original Project Agreement between the COMMISSION and the SPONSOR, including but not limited to sovereign immunity, shall remain unchanged and in full force and effect.
- B. **Counterparts.** This Agreement may be executed in counterparts. Each counterpart, when executed and delivered, shall be deemed an original and all counterparts together shall constitute one and the same Agreement.

- C. **Return of Executed Amendment to Commission.** The SPONSOR shall not execute any agreements or incur any project costs that are covered under this Amendment until this Amendment is fully executed and returned to the COMMISSION.

6. **General Provisions.**

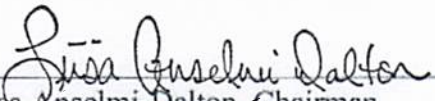
- A. **Entirety of Agreement.** The original Project Agreement, consisting of eleven (11) pages; and this Amendment One, consisting of six (6) pages, represent the entire and integrated agreement between the parties and supersede all prior and contemporaneous negotiations, representations and agreements, whether written or oral.

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7. **Signatures.** The parties to this Amendment, through their duly authorized representatives, have executed this Amendment on the dates set out below, and certify that they have read, understood, and agreed to the terms and conditions of this Amendment.

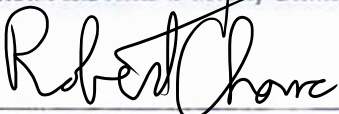
The Effective Date of this Amendment is the date of the signature last affixed to this page.

WYOMING WATER DEVELOPMENT COMMISSION



Liisa Anselmi-Dalton, Chairman

6/14/2024
Date



Robert Choma, Secretary

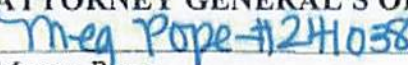
6.21.24
Date

CITY OF CHEYENNE BOARD OF PUBLIC UTILITIES

Patrick Collins, Mayor

Date

ATTORNEY GENERAL'S OFFICE: APPROVAL AS TO FORM



Megan Pope,
Senior Assistant Attorney General

6/13/24
Date